26TRCV00430 26TRCV00430

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-07-07

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SBA%2CP%2C07%2F07%2F2026

Source SHA-256: adf1f7769011f6179719f2ac5a68dcc4fe18c9dd47460ae05ef2870c830d7ce7

Case Number: 26TRCV00430 Hearing Date: July 7, 2026 Dept: P

Motion to Compel Arbitration and Stay Proceedings

Moving Party: Defendants NOARUS Investments, Inc., dba Airport Marina Honda; and Technology Credit Union

Responding Party: Plaintiff Joanne Marquez

RULING

The court considered the moving papers, opposition, and reply. Moving Defendants' Motion to Compel Arbitration is GRANTED.

PROCEDURAL BACKGROUND

On February 4, 2026, Plaintiff Joanne Marquez ("Plaintiff") filed a complaint against Defendants NOARUS Investments, Inc., dba Airport Marina Honda ("NOARUS"), Technology Credit Union ("TCU"), Contractors Bonding and Insurance Company ("CBIC"), and DOES 1 through 50, inclusive, alleging eight causes of action for: (1) Breach of Contract; (2) Violation of the Consumer Legal Remedies Act; (3) Breach of Implied Warranty of Merchantability; (4) Violation of California Business and Professions Code Section 17200, et seq.; (5) Fraud – Misrepresentation; (6) Fraud – Negligent Misrepresentation; (7) Fraud – Nondisclosure; and (8) Claim Against Dealer Bond.

On March 23, 2026, Defendants NOARUS and TCU (collectively, "Moving Defendants") filed the instant motion. On June 22, 2026, Plaintiff filed an opposition. On June 25, 2026, Moving Defendants filed a reply.

FACTUAL BACKGROUND

Plaintiff alleges that on June 20, 2025, she purchased a 2016 Land Rover LR4 HSE (the "Subject Vehicle") from NOARUS pursuant to a Retail Installment Sales Contract ("RISC") that was subsequently assigned to TCU. (Complaint, ¶ 14.) Plaintiff alleges that within two days of driving the Subject Vehicle, its "check engine" light illuminated, after which Plaintiff presented the Subject Vehicle to NOARUS's dealership. (Complaint, ¶ 20.) Plaintiff alleges that after she received the Subject Vehicle from the dealership, the "check engine" light reappeared the following day. (Complaint, ¶ 23.)

Plaintiff alleges that she sought a second opinion from a local independent Land Rover specialist, who identified "multiple major mechanical issues." (Complaint, ¶ 23.) Next, Plaintiff alleges that she returned the Subject Vehicle to NOARUS, and NOARUS dismissed Plaintiff's concerns. (Complaint, ¶ 24.) Plaintiff alleges that she presented the Subject Vehicle to Land Rover Pasadena, where a technician performed an inspection and diagnostic test which identified several defects in the Subject Vehicle. (Complaint, ¶ 26.) Plaintiff alleges that the Subject Vehicle remains unrepaired and in Plaintiff's possession and Plaintiff has been forced to purchase another vehicle. (Complaint, ¶ 28.)

LEGAL STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. (Code Civ. Proc. Section 1281.2.) California law favors enforcement of valid arbitration agreements. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 97.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-357.)

The Federal Arbitration Act ("FAA") applies to any contract evidencing a transaction involving interstate commerce which contains an arbitration clause. (Wolls v. Superior Court (2005) 127 Cal.App.4th 197, 211.) Section 2 of the FAA provides that arbitration provisions shall be enforced, save upon grounds as exist at law or in equity for the revocation of any contract. (Ibid.) A state court may refuse to enforce an arbitration clause on the basis of generally applicable contract defenses, such as fraud, duress, or unconscionability. (Ibid.) A state court, however, may not defeat an arbitration clause by applying state laws applicable only to arbitration provisions. (Ibid.)

For the FAA to apply, a contract must involve interstate commerce. (Ibid.) When it applies, the FAA preempts any state law rule that stands as an obstacle to the accomplishment of the FAA's objectives. (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 238.) A party asserting FAA preemption bears the burden to present evidence establishing a contract with the arbitration provision affects interstate commerce, and the failure to do so renders the FAA inapplicable. (Ibid.) Evidence must be presented, in the form of declarations or other evidence, that establishes that the contract affects interstate commerce. (Ibid.) "[S]ince arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement." (Davis v. Shiekh Shoes, LLC (2022) 84 Cal.App.5th 956, 963.)

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) the right to compel arbitration has been waived by the petitioner; or (b) grounds exist for the revocation of the agreement." (Code Civ. Proc. Section 1281.2(a-b).) Thus, in assessing a motion to compel arbitration, the moving party "bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the [motion] bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284, citation omitted.)

"If a court of competent jurisdiction . . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc. Section 1281.4.)

DISCUSSION

Moving Party's Argument

Moving Defendants argue that the RISC signed by Plaintiff contained a binding arbitration provision and Moving Defendants have met their burden by attaching a copy of the signed RISC to its moving papers. Moving Defendants argue that TCU may enforce the arbitration provision as an assignee of the RISC and as an express third-party beneficiary. Moving Defendants next argue that the RISC's arbitration provision contains a delegation clause which expresses an intent to delegate arbitrability issues to the arbitrator clearly and unmistakably. Moving Defendants argue that the RISC's arbitration provision is enforceable because it includes a class action waiver, requires the arbitrator to be a retired judge or attorney, allows the consumer to shift the fees to the dealer, and provides that each party is entitled to use self-help remedies.

Opposing Party's Argument

Plaintiff argues that the arbitration provision in the RISC is both procedurally and substantively unconscionable because it was presented in an adhesion contract and contains one-sided terms that unfairly favor Moving Defendants. Plaintiff also argues that because this case involves multiple defendants, including some who are not signatories to the arbitration agreement, the court should deny Moving Defendants' motion pursuant to CCP Section 1281.2(c). Plaintiff argues that if the court does grant the instant motion, it should order that the arbitration proceed before JAMS and that Moving Defendants bear all arbitration costs and fees, regardless of the outcome.

Reply Argument

Moving Defendants argue that the parties' arbitration agreement contains a delegation clause that clearly and unmistakably provides that the arbitrator is to decide issues of enforceability. Moving Defendants argue that the arbitration agreement is not unconscionable because Plaintiff has not provided evidence demonstrating an inability to negotiate or review the arbitration provision, and the arbitration agreement authorizes the arbitrator to require additional discovery. Moving Defendants argue that the risk of inconsistent rulings is highly unlikely because Plaintiff's claim against CBIC is based on a statutory scheme that requires a bonding company to compensate an aggrieved consumer who is the victim of fraud or fraudulent misrepresentation, and if Plaintiff succeeds in arbitration, she will likely assert that the arbitrator's finding is binding on CBIC.

Merits of the Motion

A. Existence of a Valid Arbitration Agreement

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference." (Cal. Rules of Court, rule 3.1330.)

Here, Moving Defendants have provided a copy of the RISC, attached to the instant motion as Exhibit 1, in compliance with Code of Civil Procedure Sections 1281.2 and 1281.4. (Twoomey Decl., Exh. 1.) The general manager of NOARUS declares that NOARUS and Plaintiff executed the RISC on June 20, 2025. (Twoomey Decl., ¶ 2.) With respect to scope, the RISC's arbitration provision states that "[a]ny claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute) between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action." (Twoomey Decl., Exh. 1, p. 5.)

The court finds that the RISC's arbitration provision encompasses the dispute between Plaintiff and Moving Defendants because Plaintiff's causes of action against Moving Defendants arise from Plaintiff's purchase and condition of the Subject

Vehicle, as Plaintiff alleges that the Subject Vehicle was defective upon Plaintiff's purchase.

1. Non-Signatory TCU

Plaintiff observes that TCU is not a signatory to the RISC. Moving Defendants argue that TCU may move to enforce the RISC's arbitration provision because TCU is the assignee and current holder of the RISC. The court agrees and finds that TCU is NOARUS's assignee and is therefore an expressly stated intended third-party beneficiary of the RISC.

"A third party beneficiary may enforce a contract expressly made for his benefit. [Citation.] And although the contract may not have been made to benefit him alone, he may enforce those promises directly made for him. [Citations.]" (Murphy v. Allstate Ins. Co. (1976) 17 Cal.3d 937, 943.) With regard to arbitration clauses, a third party beneficiary wishing to invoke an arbitration clause has to show that the arbitration clause itself was made expressly for its benefit. (Ronay Family Limited Partnership v. Tweed (2013) 216 Cal.App.4th 830, 838.)

Here, the RISC's arbitration provision explicitly applies to NOARUS's "employees, agents, successors or assigns." (Twoomey Decl., Exh. 1, p. 5.) Moving Defendants offer the declaration of general manager Brian Twoomey, who declares that the RISC was assigned to TCU. (Twoomey Decl., ¶ 4.) Plaintiff also acknowledges the assignment in her complaint. (Complaint, ¶ 14.) Therefore, the court finds that TCU is an expressly stated third-party beneficiary with standing to enforce the RISC and the arbitration provision included within it.

The court concludes that Moving Defendants have met their burden of proving that an arbitration agreement exists between the parties. Next, the burden shifts to Plaintiff to challenge the parties' arbitration agreement.

B. Enforceability of the Arbitration Provision

Once it is determined that a valid arbitration agreement exists, the burden shifts to the opposing party to "prove by a preponderance of the evidence any defense to the petition." (Lacayo v. Catalina Restaurant Group Inc. (2019) 38 Cal.App.5th 244, 257, review denied (Nov. 13, 2019).)

Here, Plaintiff argues that the RISC's arbitration provision is not enforceable because it is procedurally and substantively unconscionable.

"Unconscionability has both a 'procedural' and a 'substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results. The prevailing view is that procedural and substantive unconscionability must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability. But they need not be present in the same degree. The more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Peng v. First Republic Bank (2013) 219 Cal.App.4th 1462, 1469.)

1. Procedural Unconscionability

Courts determine whether an agreement is procedurally unconscionable by looking at surprise and oppression. Oppression is an "inequality of bargaining power, when one party has no real power to negotiate or a meaningful choice. Surprise occurs when the allegedly unconscionable provision is hidden." (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 84.) "The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126-27.)

“Ordinary contracts of adhesion, although they are indispensable facts of modern life that are generally enforced, contain a degree of procedural unconscionability.” (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1244.)

Plaintiff argues that the RISC is procedurally unconscionable because it is an adhesion contract, and Plaintiff had no ability to negotiate the terms of the arbitration provision. The court finds that there are no facts to indicate that there was a great disparity in bargaining power. In general, customers are free to negotiate with car dealers, even if those dealers use form contracts. (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 931.) Customers also have the option of purchasing a vehicle with comparable or superior terms from another dealer, and thus, “no presumption is warranted that Plaintiff had no choice or power…” (Ibid.) Here, Plaintiff was not forced to purchase a vehicle from NOARUS, and Plaintiff had the option of purchasing a comparable vehicle from another dealer without an arbitration agreement.

Therefore, the court finds that any degree of procedural unconscionability present in the RISC’s arbitration provision is minimal.

2. Substantive Unconscionability

“Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.” (Carmona, supra, 226 Cal.App.4th at 85.) There are five minimum substantive requirements to an enforceable arbitration agreement: (1) neutral arbitrators, (2) more than minimal discovery, (3) written award sufficient for judicial review, (4) all types of relief otherwise available in court, and (5) no unreasonable costs or fees as a condition of access. (Armendariz, supra, 24 Cal.4th at 102.) When there is little procedural unconscionability, a party opposing arbitration must show substantial substantive unconscionability. (Id. at 114.)

Plaintiff argues that the RISC’s arbitration provision is substantively unconscionable because it does not provide for adequate discovery and because the cost provisions impose an unfair burden on Plaintiff.

Upon review of the RISC’s arbitration provisions, the court does not identify any express discovery limitations, outside of the language stating that “discovery and rights to appeal in arbitration are generally more limited than in a lawsuit.” (Twoomey Decl., Exh. 1, p. 5.)

Regarding the cost provisions, the RISC’s arbitration agreement provides that NOARUS “will pay the filing, administration, service, or case management fee and the arbitrator or hearing fee up to a maximum of $5,000, unless the law or the rules of the chosen arbitration organization require us to pay more. You and we will pay the filing, administration, service, or case management fee and the arbitrator or hearing fee over $5,000 in accordance with the rules and procedures of the chosen arbitration organization. The amount we pay may be reimbursed in whole or in part by decision of the arbitrator if the arbitrator finds that any of your claims is frivolous under applicable law.” (Twoomey Decl., Exh. 1, p. 5.)

The court does not find that any of these provisions are so one-sided as to shock the conscience. The court further notes that the RISC’s arbitration provision is mutual and requires both parties to submit to binding arbitration, and specifies that the arbitration is to be conducted under either the rules of the American Arbitration Association (“AAA”) or National Arbitration and Mediation. The court has previously found the rules of the AAA to be fair and neutral. (Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal.App.4th 1105, 1126-1127.)

Overall, the court concludes that any degree of substantive unconscionability present in the RISC’s arbitration provision is minimal.

C. Code of Civil Procedure Section 1281.2(c)

Plaintiff also challenges the instant motion on the grounds that the instant case involves multiple defendants, including non-signatory CBIC, and Plaintiff's claims against all Defendants arise from the same vehicle purchase and include overlapping issues. Therefore, Plaintiff argues that the court should deny Moving Defendants' motion pursuant to Code of Civil Procedure Section 1281.2(c).

Code of Civil Procedure Section 1281.2(c) provides that arbitration may not be compelled if "[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition."

"Under section 1281.2(c), the trial court has the discretion to, among other things, stay or deny arbitration if one or more parties to the action is not subject to arbitration, and multiple proceedings might result in conflicting rulings involving the same transaction. [Citation.]" (Gravillis v. Coldwell Banker Res. Brokerage Co. (2006) 143 Cal.App.4th 761, 783.)

Plaintiff argues that if arbitration is compelled as to Moving Defendants, there would be a substantial risk of conflicting rulings regarding liability, damages, or the underlying facts of Plaintiff's purchase of the Subject Vehicle. In response, Moving Defendants argue that the possibility of inconsistent rulings is unlikely because if Plaintiff succeeds in arbitration, she will likely assert that the arbitrator's finding is binding on CBIC.

The court refers to its previous discussion regarding TCU's ability to enforce the parties' arbitration agreement. As for CBIC, Moving Defendants directly acknowledge that Plaintiff's cause of action against CBIC is dependent upon a showing that Plaintiff was the "victim of fraud or fraudulent representation." (Reply. 3:7-9.)

Plaintiff's eighth cause of action against CBIC alleges that CBIC "was and is the surety for [NOARUS's] motor vehicle dealer bond," and Plaintiff brings her eighth cause of action against CBIC "as the surety on [NOARUS's] bond, seeking recovery for all losses proximately caused by [NOARUS's] fraudulent, unlawful, and deceptive acts in connection with the sale of the vehicle." (Complaint, ¶¶ 96, 98.) As Moving Defendants note, Plaintiff's eighth cause of action is brought pursuant to Vehicle Code Section 11711, which provides that a person who has been damaged due to fraud or fraudulent representation made by a dealer may bring an action against the "surety upon the dealer's bond." (Veh. Code Section 11711(a).)

Despite the dependency of Plaintiff's cause of action against CBIC upon Plaintiffs' causes of action against Moving Defendants, the court finds that there is not a risk of conflicting rulings. CBIC acts merely as the surety and a stay of the action as to this defendant would not impact the underlying litigation.

Accordingly, the court declines to exercise its discretion to deny Moving Defendants' well-taken motion under Code of Civil Procedure Section 1281.2(c).

CONCLUSION

Based on the foregoing, Moving Defendants' Motion to Compel Arbitration is GRANTED. The matter is stayed as to all Defendants until such time as arbitration between Plaintiff and the moving parties has concluded.

Moving party is ordered to give notice of ruling.